THE UNIVERSITY OF CHICAGO

Peter Ganong <ganong@uchicago.edu>

Decision on AERI-2024-0441

Tatyana Deryugina <onbehalfof@manuscriptcentral.com> Mon, Sep 16, 2024 at 2:32 PM
Reply-To: deryugin@illinois.edu
To: ganong@uchicago.edu
Cc: aerinsights@aeapubs.org

16-Sep-2024

RE: AERI-2024-0441 "Disemployment Effects of Unemployment Insurance: A Meta-Analysis"

Dear Prof. Ganong:

I write you in regards to manuscript AERI-2024-0441 entitled "Disemployment Effects of Unemployment Insurance: A Meta-Analysis," which you submitted to the American Economic Review: Insights.

After examining your submission and the referee reports, I have decided to conditionally accept your manuscript provided you make the changes outlined in the attached decision letter.

Please upload your revised manuscript and an updated word count PDF to your author center no later than 11-Nov-2024. As a reminder, manuscripts must be <=6,000 words, with a maximum of five exhibits (figures or tables); for each exhibit before the maximum five, you may add up to 200 words toward the word limit; thus a paper with no exhibits must have <=7,000 words.

I look forward to receiving your revised submission.

Sincerely,

Prof. Tatyana Deryugina
Coeditor, American Economic Review: Insights

Referee: 1

Comments to the Author
See attached

Referee: 2

Comments to the Author
See attached

Referee: 3

Comments to the Author
Referee on « Disemployment Effects of Unemployment Insurance: A Meta-Analysis»

Summary:
This paper performs a meta-analysis of the disemployment effects of Unemployment Insurance. Compared to previous literature reviews (for example Schmieder and von Wachter 2017), it documents some publication bias. When estimates are less precise (larger standard errors), only large disemployment effects are published. Accounting for this publication bias reduces average estimates of disemployment elasticities to replacement rates by 38% to 50%. The bias quantification relies on new methods for meta-analysis (Andrews and Kasy 2019, and BAM). Importantly, debiased estimates of disemployment effects lead to non-zero optimal UI replacement rates in the Baily-Chetty framework. Even when the UI value is quantified with consumption drop data (Gruber 1997).

Beyond the average effects, the paper documents interesting heterogeneity across contexts and studies. Namely, disemployment effects seem to be larger when baseline UI generosity is greater.
Last, the paper shows that the share of treated unemployed does no correlate with micro UI elasticities of unemployment duration. It interprets this finding as evidence that the macro elasticity of UI is the same as the micro elasticity.

Overall impression:
The paper makes an important contribution on publication bias in the UI literature. This is a surprising result to me. The empirical UI literature is mature with dozens and dozens of estimates in both published and unpublished papers. Previous review papers do not document such bias patterns. I am wondering why our research community discovers it now only. This could be for several reasons. First, the evidence of p-hacking in Figure A-2 is probably less stark than in other literature. Second, previous funnel plots of UI effects may not have been as asymmetric than what Figure 1 suggests. Maybe because of the selection of studies in the current meta-analysis. Recent review papers tended to select quasi-experimental papers only for example. Third, the recent advances from the meta-analysis methodology may be able to detect lighter publication bias, which still matters for economic interpretation. I think it would be great to discuss this at some point in the paper. Then one could infer from the paper which other key and well-documented economic results may be the next to challenge.
While I think that the main publication bias estimation is a strong result, the heterogeneity analysis, esp. wrt treatment share, and its interpretation seem weaker to me.

Major comments:
1. Relation with previous review articles. Could the paper run their main publication bias analysis on the sample of estimates in Schmieder and von Wachter (2017)? This would be helpful to address my comment above. Did the community miss the publication bias because of inattention or because of weak previous methods?
2. Publication bias. There are two estimates of debiased effects for each UI generosity parameter. For replacement rate, the debiased AK estimate in Table 1 (also reported in the right-hand panel of Figure 2) of 0.2 is half the BAM estimate taken at the average replacement rate in the left-hand side of Figure 2 (so 0.4 with a replacement rate of 50%). For PBD, the paper is not very clear (0.1 in Table 1 for AK estimate), but I missed the corresponding BAM estimate. Shall we just take out 0.2 from the average estimate (as implied by setting the standard error covariate to 0)? If yes, then the BAM debiased estimate is 0.38, much larger than the 0.1 AK estimate. Could the paper clearly state their preferred debiased estimate in the introduction? This would be useful for researchers willing to use its average estimate in further papers. An alternative is to give a reasonable range of debiased estimates in the introduction and the abstract. Flagging that the effects is reduced by a factor 2 in the abstract seems an overstatement to me.
3. Table 1. Average theta estimates do not seem to be statistically significant. Shall I conclude that AK delivers imprecise estimates in the end? Or shall I interpret the result as: one cannot exclude zero effects of UI? Could the paper comment on standard errors more? (Incl. defining how standard errors are computed for the naïve average)
4. The macro elasticity corresponds to the effect of UI on labor market tightness. This is not what micro studies measure, where they hold tightness constant when they compare treated vs untreated workers. The micro estimates measure the difference in job search effort between treated and untreated workers. The fact that it does not vary with treatment share is not informative about effects on tightness. Could the paper justify its interpretation? The regression one would like to run is the effect of treatment share on unemployment duration of control workers.

Minor comments:
A. I like the idea that meta-analysis allows to paste effects from small changes at various baseline replacement rates to predict the effect of a large change. This rests on some further structural assumptions on effects though, which I think the paper could state (or even test). Even in a world where effects do not depend on baseline levels, there could be non-linearity. Have large shocks effects that are greater than the sum of smaller shocks? In other words, is there non-linearity in the response (as predicted by model with adjustment frictions or inattention)? For example, larger reforms may be more salient.
B. The paper may cite Boone et al (2021) in the micro-macro section (see Le Barbanchon et al 2024 for other potential references).
C. There are also more references on the effects of UI on separation in Le Barbanchon et al (2024).

References:
Boone, C., A. Dube, L. Goodman, and E. Kaplan (2021): “Unemployment Insurance
Generosity and Aggregate Employment,” American Economic Journal: Economic Policy, 13, 58–99.
Le Barbanchon, Thomas, Schmieder, Johannes F, Weber, Andrea (2024).” Job Search, Unemployment Insurance, and Active Labor Market Policies”, National Bureau of Economic Research Working Paper Series, No. 32720.

Referee: 4

Comments to the Author

This paper presents a meta-analysis examining the effects of replacement rates and potential benefit duration on unemployment insurance (UI). The authors have analyzed 55 prior studies, collecting estimates, standard errors, and key features of the empirical approaches. The paper provides compelling evidence of publication bias, following the methodology of Andrews and Kasy (2019), and demonstrates that correcting for this bias results in a substantially smaller estimated average unemployment elasticity.

The paper also offers a descriptive analysis, highlighting observable features that correlate with estimated unemployment elasticities across different studies. Notably, the authors find that estimated elasticities are larger when the replacement rate is higher or when the potential benefit duration is longer. From this, they infer that the fiscal externality from expanding UI increases with its generosity. Additionally, they observe that the estimated elasticities are similar when changes in unemployment insurance apply to small versus large groups of individuals within the same labor market, leading them to conclude that micro and macro elasticities are comparable.

I thoroughly enjoyed reading this paper. The meta-analysis is highly valuable and contributes meaningfully to the broader public discourse. The insights provided are both intriguing and thought-provoking. While the evidence on publication bias is robust, the second and third insights are less conclusive. These findings are innovative and have certainly piqued my interest---I am eager to understand more about what is occurring. However, I believe that further substantive work is necessary to support the conclusions that the authors currently draw.

Other Comments:

1. The evidence on the correlation between the size and standard error of the estimates is very convincing. However, I suggest clarifying how this paper innovates beyond the work of Andrews and Kasy (2019), who not only proposed the methodology used but also implemented it for a specific specification.
2. It would be helpful to elaborate on the sources of variation underlying the differences in UI generosity across the studies analyzed. There are numerous caveats to the interpretation presented by the authors. Notably, their model implies that optimal generosity is higher when elasticities are smaller. Therefore, if policy is endogenous to elasticities, the authors may be underestimating the gradient.
3. The argument for how different sources of variation allow for the estimation of micro and macro elasticities should be more fully developed. I would like to see a discussion on how the share of workers participating in the same labor market as control workers differs, for example, when the policy changes apply to all long-term unemployed workers.

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3 attachments

AERI-2024-0441-Decision-Letter.pdf
148K

Report_Ref2.pdf
77K

Report_Ref1.pdf
58K